

## 23-5 Is GDP a Good Measure of Economic Well-Being?

Earlier in this chapter, GDP was called the single best measure of the economic well-being of a society. Now that we know what GDP is, we can evaluate this claim.

As we have seen, GDP measures both the economy's total income and the economy's total expenditure on goods and services. Thus, GDP per person tells us the income and expenditure of the average person in the economy. Because most people would prefer to receive higher income and enjoy higher expenditure, GDP per person seems a natural measure of the economic well-being of the average individual.

Yet some people dispute the validity of GDP as a measure of well-being. When Senator Robert Kennedy was running for president in 1968, he gave a moving critique of such economic measures:

*[Gross domestic product] does not allow for the health of our children, the quality of their education, or the joy of their play. It does not include the beauty of our poetry or the strength of our marriages, the intelligence of our public debate or the integrity of our public officials. It measures neither our courage, nor our wisdom, nor our devotion to our country. It measures everything, in short, except that which makes life worthwhile, and it can tell us everything about America except why we are proud that we are Americans.*

Much of what Robert Kennedy said is correct. Why, then, do we care about GDP?

The answer is that a larger GDP does in fact help us lead better lives. GDP does not measure the health of our children, but nations with larger GDP can afford better healthcare for their children. GDP does not measure the quality of their education, but nations with larger GDP can afford better educational systems. GDP does not measure the beauty of our poetry, but nations with larger GDP can afford to teach more of their citizens to read and enjoy poetry. GDP does not take account of our intelligence, integrity, courage, wisdom, or devotion to country, but all of these virtues are easier to foster when people are less concerned about affording the material necessities of life. In short, GDP does not directly measure those things that make life worthwhile, but it does measure our ability to obtain many of the inputs for a worthwhile life.

GDP is not, however, a perfect measure of well-being. It omits some things that contribute to a good life, such as leisure. Suppose, for instance, that everyone in the economy suddenly started working every day of the week, rather than taking weekends off. More goods and

services would be produced, and GDP would rise. But despite the increase in GDP, we should not conclude that everyone would be better off. The loss from reduced leisure would offset the gain from producing and consuming a greater quantity of goods and services.

Because GDP uses market prices to value goods and services, it excludes the value of almost all activity that takes place outside markets. In particular, GDP omits the value of goods and services produced at home. When a chef prepares a delicious meal and sells it at her restaurant, the value of that meal is part of GDP. But if the chef prepares the same meal for her family, the value she has added to the raw ingredients is left out of GDP. Similarly, child care provided in day-care centers is part of GDP, whereas child care by parents at home is not. Volunteer work also contributes to the well-being of those in society, but GDP does not reflect these contributions.

Another thing that GDP excludes is the quality of the environment. Imagine that the government eliminated all environmental regulations. Firms could then produce goods and services without considering the pollution they create, and GDP might rise. Yet well-being would most likely fall. The deterioration in the quality of air and water would more than offset the gains from greater production.

GDP also says nothing about the distribution of income. Consider two societies, one in which 100 people have annual incomes of \$50,000 and another in which 10 people earn \$500,000 and 90 suffer with nothing at all. Both societies have GDP of \$5 million and GDP per person of \$50,000. Yet few people would consider the two situations equivalent. While GDP per person tells us what's happening to the average person, behind the average lies a large variety of personal experiences.

In the end, we can conclude that GDP is a good measure of economic well-being for most—but not all—purposes. It is important to keep in mind what GDP includes and what it leaves out.

### **Case Study: International Differences in GDP and the Quality of Life**

One way to gauge the usefulness of GDP as a measure of economic well-being is to examine international data. Rich and poor countries have vastly different levels of GDP per person. If a large GDP leads to a higher standard of living, then we should observe GDP to be strongly correlated with various measures of the quality of life. And, in fact, we do.

[Table 3](#) shows 12 large nations ranked in order of GDP per person. The table also shows life expectancy at birth, the average years of schooling among adults, and an index of life satisfaction based on asking people to gauge how they feel about their lives on a scale of 0 to 10 (with 10 being the best). These data show a clear pattern. In rich countries, such as the United States and Germany, people have life expectancy of about 80, acquire about 13 years of schooling, and rate their life satisfaction at about 7. In poor countries, such as Bangladesh and Nigeria, people typically die about 10 years earlier, have less than half as much schooling, and rate their life satisfaction about 2 points lower on the 10-point scale.

Table 3

**GDP and the Quality of Life**

The table shows GDP per person and three other measures of the quality of life for 12 major countries.

| Country       | Real GDP<br>per<br>Person | Life<br>Expectancy | Average<br>Years of<br>Schooling | Overall Life<br>Satisfaction<br>(0 to 10<br>scale) |
|---------------|---------------------------|--------------------|----------------------------------|----------------------------------------------------|
| United States | \$54,941                  | 80 years           | 13 years                         | 7.0                                                |
| Germany       | 46,136                    | 81                 | 14                               | 7.1                                                |
| Japan         | 38,986                    | 84                 | 13                               | 5.9                                                |
| Russia        | 24,233                    | 71                 | 12                               | 5.6                                                |
| Mexico        | 16,944                    | 77                 | 9                                | 6.4                                                |
| China         | 15,270                    | 76                 | 8                                | 5.1                                                |
| Brazil        | 13,755                    | 76                 | 8                                | 6.3                                                |
| Indonesia     | 10,846                    | 69                 | 8                                | 5.1                                                |
| India         | 6,353                     | 69                 | 6                                | 4.0                                                |
| Pakistan      | 5,311                     | 67                 | 5                                | 5.8                                                |
| Nigeria       | 5,231                     | 54                 | 6                                | 5.3                                                |
| Bangladesh    | 3,677                     | 73                 | 6                                | 4.3                                                |

**Source:** Human Development Indices and Indicators: 2018 Statistical Update, United Nations. Real GDP is for 2017, expressed in 2011 dollars. Average years of schooling is among adults 25 years and older.

Data on other aspects of the quality of life tell a similar story. Countries with low GDP per person tend to have more infants with low birth weight, higher rates of infant mortality, higher rates of maternal mortality, and higher rates of child malnutrition. They also have lower rates of access to electricity, paved roads, and clean drinking water. In these countries, fewer school-age children are actually in school, those who are in school must learn with fewer teachers per student, and illiteracy among adults is more common. The citizens of these nations tend to have fewer televisions, fewer telephones, and fewer opportunities to access the Internet. International data leave no doubt that a nation's GDP per person is closely associated with its population's standard of living.

### QuickQuiz

11. If Mr. Keating quits his job as a teacher to home school his own children, GDP

- a. stays the same because he is engaged in the same activity.
- b. rises because he now pays lower income taxes.
- c. falls because his market income decreases.
- d. could rise or fall, depending on the value of home schooling.

12. GDP is an imperfect measure of well-being because it

- a. includes physical goods produced but not intangible services.
- b. excludes goods and services provided by the government.
- c. ignores the environmental degradation from economic activity.
- d. is not correlated with other measures of the quality of life.